

19STCV05324 19STCV05324

County: los-angeles

Division: Civil Law and Motion

Department: 406

Hearing date: 2026-08-05

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Case Number: 19STCV05324 Hearing Date: August 5, 2026 Dept: 406

CENTRAVEL, INC.,

Plaintiff,

v.

FERDINAND LIPANA, et

al.,

Defendants.

Case No.: 19STCV05324

Hearing Date: August 5, 2026

[TENTATIVE]

order RE:

defendants' motion to vacate judgment

BACKGROUND

On February 15, 2019, Plaintiff

Centravel, Inc. filed this action against Ferdinand Lipana, Bernadine Lipana, Lawrence Lipana, Lancelle Lipana, and Sandrine Lipana. Lawrence, Lancelle, and Sadrine Lipana were subsequently dismissed from the lawsuit.

On August 15, 2022, the Court entered a

stipulated judgment in favor of Plaintiff against Defendants Ferdinand Lipana and Bernadine Lipana.

On July 13, 2026, Defendants filed the instant motion to vacate judgment. Plaintiff filed an opposition on July 22, 2026. Defendants filed a reply on July 28, 2026.

DISCUSSION

I.

Void Judgment

“The court may . . . on motion of either party after notice to the other party, set aside any void judgment or order.” (Code Civ. Proc., § 473(d).) Defendants argue that “the underlying judgment has rendered completely void ab initio due to a catastrophic and non-waivable defect in subject-matter jurisdiction and corporate capacity. Specifically, the named judgment creditor, Centravel, Inc., executed a certified Certificate of Dissolution and suffered permanent corporate extinction on March 13, 2026, under Corporations Code Section 1905(b).” (Mtn. at p. 2.) Defendants further contend that Centravel’s assignment of the judgment to Hispanic Express on June 25, 2026 “is an absolute nullity executed without a lawful post-dissolution Board resolution under Corporations Code Section 2001(a).” (Ibid.)

However, Defendants cite no authority suggesting that a judgment can be retroactively voided by a subsequent corporate dissolution and assignment occurring years after the judgment has been entered. The Court has jurisdiction over the subject matter and the parties, and Defendants cite no authority to the contrary. Therefore, the judgment is not void. The motion fails for this reason alone.

II.

Corporate Rights After Dissolution

Second, the motion is yet another attempt to rehash the same argument that the Court has rejected numerous times. Namely, “[a] corporation which is dissolved nevertheless continues to exist for the purpose of winding up its affairs, prosecuting and defending actions by or against it and enabling it to collect and discharge obligations,

dispose of and convey its property and collect and divide its assets, but not for the purpose of continuing business except so far as necessary for the winding up thereof." (Corp. Code, § 2010(a).) Defendants have cited no authority abrogating section 2010(a) or the principles expressed therein. Defendants likewise cite no authority for their proposition that a dissolved corporation must affirmatively prove its authority to pursue post-dissolution enforcement. (See Reply at pp. 2-3.) The corporation's rights are conferred by statute, not by evidence.

Defendants rely on the dissolution procedure set forth in Corporations Code sections 1900 to 1905 as somehow precluding CentraTravel from taking any legal action after executing the certificate of dissolution. (Mtn. at pp. 4-5.) Not so. Section 1903 expressly provides that "[w]hen a voluntary proceeding for winding up has commenced, the board shall continue to act as a board and shall have full powers to wind up and settle its affairs, both before and after the filing of the certificate of dissolution." (Corp. Code, § 1903(b).)

The caselaw also supports this. "[A] corporation after dissolution, voluntary or involuntary, shall nevertheless continue to exist for an indefinite period as a legal entity for the purpose of winding up its affairs." (*Penasquitos, Inc. v. Superior Court* (1991) 53 Cal.3d 1180, 1185.) "Section 1905, subdivision (b), now provides that when the certificate of dissolution is filed, 'the corporate existence shall cease, except for the purpose of further winding up if needed.'" (*Ibid.*, emphasis in original.) "Section 2010, subdivision (a), further explains the purposes for which the corporate existence continues after dissolution." (*Ibid.*) Defendants simply provide no authority to the contrary, and their citations to Corporations Code sections 1900 to 1905 actually support CentraTravel's continued right to pursue the action after dissolution.

III.

Assignment of Judgment

Defendants' contention that the assignment to Hispanic Express is void under Corporations Code section 2001(a) is equally without merit. Section 2001 outlines "[t]he powers and duties of the directors (or other persons appointed by the court pursuant to Section 1805) and officers after commencement of a dissolution proceeding." (Corp. Code, § 2001.) One of these powers, as set forth in subdivision (a), is "[t]o elect

officers and to employ agents and attorneys to liquidate or wind up its affairs.” (Ibid.) This concept is neither disputed nor relevant to the assignment issue. Nowhere does section 2001 state, in subdivision (a) or otherwise, that a dissolved corporation cannot assign a judgment to its parent company.

Defendants argue that Gary Cypres, Centravel's CEO, could not have executed the assignment post-dissolution because “pre-dissolution titles vanish upon extinction, requiring a fresh post-dissolution board election.” (Mtn. at p. 5.) Defendants contend that “[c]ounsel completely lacks a post-dissolution board election or resolution directive, rendering the transfer void ab initio.” (Mtn. at p. 6.) However, Defendants provide no authority in support of this contention. No requirement for a so-called “post-dissolution board election” or “resolution directive” appears anywhere in Corporations Code section 2001 or any other statute or case cited by Defendants.

Defendants' repeated contentions about standing and the real-party-in-interest fare no better. “An action or proceeding does not abate by the transfer of an interest in the action or proceeding or by any other transfer of an interest. The action or proceeding may be continued in the name of the original party, or the court may allow the person to whom the transfer is made to be substituted in the action or proceeding.” (Code Civ. Proc., § 368.5.)

In sum, the judgment is not void for any of the reasons articulated in the motion.

IV.

Stay Pending Appeal

As an alternative to setting aside the judgment, Defendants request a stay of enforcement pending appeal under Code of Civil Procedure sections 916, 918, and 923. (Mtn. at pp. 6-8.)

An automatic stay under section 916 does not apply to a money judgment unless the appellant posts an undertaking. (Code Civ. Proc., § 917.1(a)(1).) Defendants argue that they can obtain an automatic stay without an undertaking by appealing the order denying their motion to vacate the judgment. (Mtn. at p. 8.) Not so. The automatic stay only

applies to “proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby.” (Code Civ. Proc., § 916(a).) “An appeal from an order denying a motion to set aside the judgment does not embrace or affect the judgment itself.” (People v. American Surety Co. (2019) 31 Cal.App.5th 380, 391.) Therefore, appealing the post-judgment order would not automatically stay enforcement of the judgment.

Section 918 only permits limited discretion to stay a money judgment: “If the enforcement of the judgment or order would be stayed on appeal only by the giving of an undertaking, a trial court shall not have power, without the consent of the adverse party, to stay the enforcement thereof pursuant to this section for a period which extends for more than 10 days beyond the last date on which a notice of appeal could be filed.” (Code Civ. Proc., § 918(b).) This limit “applies whether or not an appeal will be taken from the judgment or order and whether or not a notice of appeal has been filed.” (Id., § 918(c).) The Court declines to impose a discretionary stay because Defendants’ arguments are clearly meritless and have no probability of success on appeal. A stay would substantially prejudice the judgment creditor, which outweighs the prejudice to Defendants if enforcement is not stayed.

Lastly, section 923 permits “a reviewing court or of a judge thereof to stay proceedings during the pendency of an appeal.” (Code Civ. Proc., § 923.) This Court is not an appellate court. Therefore, section 923 does not authorize this Court to stay the action.

V.

Stay Pending Proof of Authority

Defendants’ reply seeks the additional relief of “an immediate stay of all enforcement pending production and judicial review of competent evidence establishing authority and a valid chain of entitlement to enforce the judgment.” (Reply at p. 7.) As discussed above, Defendants have cited no law requiring proof of corporate authority. Defendants likewise fail to identify any defect with the assignment to Hispanic Express. Therefore, this additional request lacks merit.

CONCLUSION

Defendants' motion to set aside

judgment is DENIED. Defendants' request for a stay is DENIED.